

Two common tendencies of individuals underlie spending patterns, according to the life-cycle hypothesis:

1. Most people prefer a higher standard of living to a lower standard of living; that is, people want to maximize consumption spending in the present.
2. Most people prefer to maintain a relatively constant standard of living throughout their lives. They dislike volatility and don't desire abrupt intervals of feast interspersed with famine.

Basically, the life-cycle hypothesis envisions that people will try to maintain the highest, smoothest consumption paths possible.

Now that we have an understanding of the life-cycle hypothesis, we can integrate behavioral concepts that account for real-world savings behavior. In 1998, Hersh Shefrin and Richard Thaler introduced a behaviorally explained life-cycle hypothesis,¹ which is a descriptive model of household savings in which self-control plays a key role. The key assumption of the behavioral life-cycle theory is that households treat components of their wealth as “nonfungible” or noninterchangeable even in the absence of credit rationing. Specifically, wealth is assumed to be divided into three “mental” accounts: (1) current income, (2) current assets, and (3) future income. The temptation to spend is assumed to be greatest for current income and least for future income.

Considerable empirical evidence supporting the behavioral life-cycle theory exists. In a survey of students' expectations of future consumption, Shefrin and Thaler obtained direct support for the tenets of behavioral life-cycle theory. Specifically, they found that subjects envisioning themselves to be the beneficiaries of some financial windfall predicted that they would consume, immediately, a greater portion of that windfall during the same year if the money was coded as current income rather than current assets. Subjects said that they would consume the smallest portions of income coded as future income. For most people, consumption and income (i.e., saving) are mediated by institutions, not individual decisions. Examples include home mortgage repayment schedules, 401(k) plans, and individual retirement accounts (IRAs); often, these instruments represent an individual's only real savings, with no additional funds being set aside.

Self-control has a cost, and people are willing to pay a price to avoid reigning in their natural impulses. Consumers act as if they are maintaining separate funds within their individual accounting systems, separating income into current income and wealth. The marginal propensity to consume varies according to the source of income (e.g., salary versus bonus), even if the measure taken to activate or to sustain the source of income (e.g., work) is the